

European Cross-Commodity Risk Pack: Gas + Carbon □ Power Curve Implications

Daily desk brief — 2026-05-07

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Generated by `scripts/generate_brief.py`. AI narrative + news themes via Anthropic Claude.

□ **Data-freshness caveat:** Clean Dark (last 2025-12-31, 127d old); Coal (last 2025-12-26, 132d old). Numbers below should be read with this in mind.

1 · Executive summary

TL;DR — Hormuz closure pushes LNG/gas bullish while renewables plunge (18th pctl); Clean Spark at 92nd pctl signals sustained thermal in-the-money—but coal data stale 132 days.

Hormuz closure is the dominant bullish signal for gas, with LNG cost to the EU elevated and TTF trading near baseline despite a -6.44% daily move—anchored by geopolitical premium. Renewables have collapsed to the 18th percentile at 27.07% of load, forcing sustained thermal dispatch; Clean Spark has surged to the 92nd percentile (+78.55% weekly), cementing gas-for-power switching in the money. EUA and carbon supply are neutral, but EU methane rule exemptions signal structural acceptance of thermal dependence under crisis, tightening the commodity basis as dispatch extends. Coal and Clean Dark spreads are stale (132 and 127 days respectively), so the live signal sits entirely in the intra-week Clean Spark and renewables move. With Hormuz blockade persisting and renewables pinned at the 18th pctl, gas tightness and extended thermal in-the-money mean the curve regime is compressed front-month to Cal+1, awaiting either Hormuz clearance (Trump mission success) or further renewable deterioration.

Generated by **claude-haiku-4-5** via Anthropic API (two-pass extract □ narrate). Prompts/responses logged to `ai/logs/`.

2 · Monitor metrics

Primary (cross-commodity headline tiles)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctl	Headline
TTF Gas	2026-05-06	43.90	EUR/MWh	-6.44%	+2.80%	57	Within typical range
EU Storage	—	—	% full	—	—	—	(no data)
EUA Carbon	2026-05-06	32.01	EUR/tCO2	-0.68%	+2.17%	29	Within typical range
DE Power	2026-05-08	138.00	EUR/MWh	+1.42%	+93.57%	76	Within typical range
GB Power	2026-05-07	111.89	EUR/MWh	-8.20%	+20.15%	84	Within typical range
Renewables	2026-05-07	27.07	% of load	-32.82%	-41.24%	18	Within typical range
Clean Spark	2026-05-08	38.42	EUR/MWh	+1.94	+78.55	92	92th-percentile of 5-yr range — historically high
Clean Dark	2025-12-31 □ STALE	27.95	EUR/MWh	-0.56	+11.63	50	Within typical range

Fundamentals inputs *(feed derived metrics; not separately traded)*

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Coal	2025-12-26 STALE	96.00	USD/t	-0.57%	+0.08%	8	8th-percentile of 5-yr range — historically low

Spreads $\square$ abs EUR/MWh deltas; others $\square$ pct. Weekly Δ uses 5d trailing means. Full history in `data/<metric>.csv`.

3 · Gas + LNG arb

TTF front-month prints at 43.90 EUR/MWh — *Within typical range.*

4 · Carbon (EU ETS)

EUA December prints at 32.01 EUR/tCO₂ — *Within typical range.* A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

Supply / policy signal — *EU methane rule exemptions for energy security emerging; signals willingness to loosen upstream supply discipline under geopolitical crisis.*

Side: supply · Polarity: neutral · Source: Politico EU Energy

Supply loosening reduces regulatory carbon floor on gas availability; neutral near-term EUA pressure but structural tightening of commodity basis (gas per tonne CO₂) as thermal dispatch extends.

Surfaced from today's news flow by the AI extract pass (`ai/prompts/extract_v1.md` $\square$ `carbon_policy_signal`).

5 · Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — *Within typical range.* **GB day-ahead baseload** at 111.89 EUR/MWh — *Within typical range.* **DE – GB spread** at +26.11 EUR/MWh (DE premium) — drives interconnector flow direction.

Clean spark spread at +38.42 EUR/MWh — *92th-percentile of 5-yr range — historically high.* This is the bridge from gas + carbon fundamentals to gas-fired plant economics; sustained positive spark = gas is in-the-money and TTF moves transmit directly into the power curve.

The dark spread (and any coal-vs-gas merit-order claim) is suppressed this morning: coal data is 132 days old (last 2025-12-26), so the merit-order signal is indicative not current. Spark alone carries the regime read above.

DA / Cal+1 (model) at 138.00 / 91.15 EUR/MWh; spread +46.85 EUR/MWh — **backwardation**. Front absorbs storage and outage shocks; Cal+1 reflects the structural carbon-and-fuel trajectory. Cal+1 here is a backward-looking seasonality projection — see Methodology.

This week ahead

- **Fri 14:30 UTC** — EIA weekly natural gas storage report: US storage trajectory anchors LNG export pricing into NW Europe — direct TTF transmission.
- **Thu 14:30 UTC** — US EIA weekly crude inventories: Crude — and via crack spreads, refined-products — feed back into LNG arb economics.
- **Fri** — ENTSO-E weekly day-ahead volumes / system-balance summary: Reads the European generation mix in last 7d — confirms or breaks the Cal+1 thesis.
- **Wed** — Trump Hormuz mission update expected: Shipping clearance milestone could signal LNG flow restoration; material for TTF/power curve repricing within 48h. *(news-extracted)*

Scenarios (1w horizon)

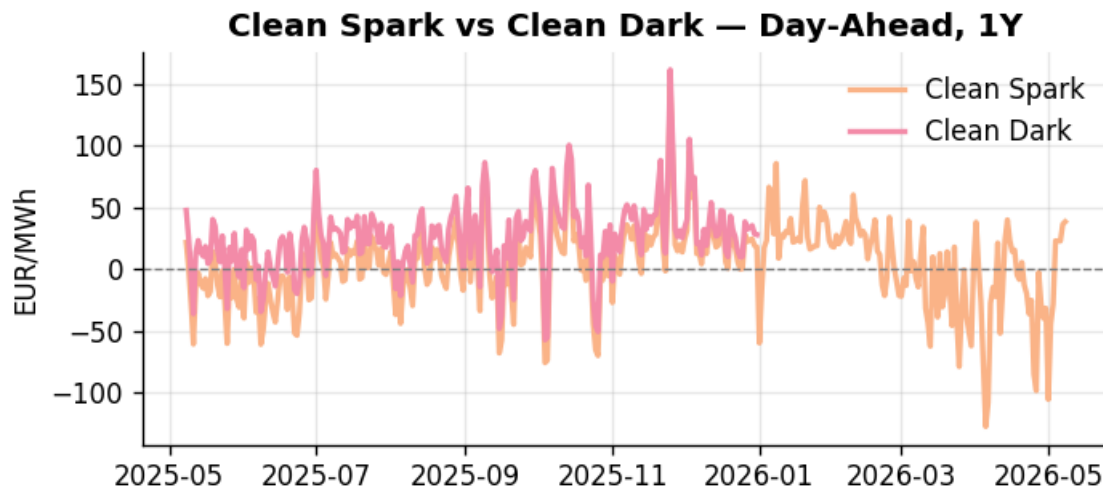


Figure 1: Clean Spreads

	Summary	TTF	DE Power
Base	Hormuz blockade persists; renewables stabilize ~25–30%; thermal baseload extended; TTF mid-40s EUR/MWh.	–2 to +3%	–1 to +2%
Upside	Hormuz clears (Trump mission success) or Iran deal emerges; LNG supply normalizes; Asian-EU spread collapses.	–8 to –12%	–5 to –8%
Downside	Hormuz blockade escalates (military action) or widens; renewables extend below 20%; sustained LNG shortage.	+10 to +18%	+6 to +12%

Illustrative, not forecasts. Magnitudes sized off historical sensitivity; AI-generated from today's extract pass.

6 · Today's themes

Backdrop: Strait of Hormuz closure elevates crude and LNG supply risk to EU; Iran tensions threaten sustained energy price shocks; US-EU trade tensions loom.

Watchlist (1–4 weeks) - Hormuz blockade resolution updates — direct LNG and crude supply impact to EU gas prices. - US-EU tariff negotiations (automobiles 25%+) — inflation risk on EU energy transition costs and capex. - Belgian nuclear timeline for state takeover — capacity and gas displacement schedule. - Trump 'Project Freedom' Hormuz mission progress — shipping clearance could ease crude/LNG flow by end-May.

*5 structured themes (tag · commodity · polarity · why) in data/ai_news_themes.json — generated by **claude-haiku-4-5** from 18 headlines.*

*Methodology + sources: see **README §Methodology**. Numbers auditable via the snapshot JSONs in this directory. Rule-based / informational — not investment advice.*